

2. Cost Advantages

Does the company have a cost advantage over its competitors?

Can the company manufacture products at a price lower than its competitors?

For example:

Company Jio and Airtel manufacture similar products. Therefore, ideally, they should quote the same price for these products.



However, for some reason, the service cost for Jio is less. **As a result, they can sell the product at a lower price even by maintaining profit margins. This is a Cost advantage.**

“In an environment where the companies are selling a commodity all products are the same, the only thing that matters is the price. In such an environment cost advantage can be a huge factor.”

Does the company that we are analyzing has a specific cost advantage?

Some factors that can lead to cost advantages-

I. Location

Location is one of the most common factors.

If the company, its factory, and its plants are located closer to the market or raw materials, then it is implied that the company will save on logistics cost and will have a cost advantage.

Cement space is one such example.

Logistics - Transporting cement from point A to point B: is a significant cost component in production costs. if the location is closer to the origin of raw materials or the market, then the company will save a lot of money on logistics This results in a cost advantage. Eg. Amubja Cement.